TransDigm Group Inc

Remain Overweight Credit; Buy the TDG S+250 Term Loan Due 2032

Overweight

TDG

North America Corporate Credit - Aerospace & Defense (HY & IG) and Industrials (HY) and Services (HY)

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Credit View: TransDigm Group's (TDG) fiscal 1Q26 results were in line with our expectations. OEM build rates and inventory destocking trends continued to improve in the quarter. Subsequent to quarter end, TDG announced three acquisitions for a total of ~$3.2 billion. The company expects to fund these acquisitions with a combination of cash on hand and new debt issuance. While TDG's financial policy is more aggressive than other issuers in the A&D space, we take comfort in the company's solid FCF profile and low debt/enterprise value. **We are reiterating our Overweight credit recommendation on the TransDigm Group credit. We think the TDG S +250 term loan due 2032 offers the best value in TransDigm's capital structure.**

Earnings recap: TDG reported fiscal first quarter revenue of $2,285 million (+14% y/y; organic growth +7% y/y) compared to consensus of $2,268 million and adjusted EBITDA of $1,197 million (+13% y/y) compared to consensus of $1,190 million with a margin of 52.4% (-51bp y/y).

Earnings Review

($ millions)	1Q.26	1Q.25	y/y Δ	JPME	Consensus
Revenue	2,285	2,006	13.9%	2,235	2,268
Adj. EBITDA	1,197	1,061	12.8%	1,184	1,190
% Margin	*52.4%*	*52.9%*		*53.0%*	*52.5%*

Source: Company reports, J.P. Morgan, Bloomberg Finance L.P.

Leverage Stats

($ millions)	1Q.26	4Q.25
LTM Adj. EBITDA	4,896	4,760
Cash	2,528	2,808
Debt	30,253	30,233
Gross Secured Leverage	*4.8x*	*4.9x*
Net Secured Leverage	*4.3x*	*4.3x*
Gross Leverage	*6.2x*	*6.4x*
Net Leverage	*5.7x*	*5.8x*

Source: Company reports, J.P. Morgan

Outlook/Guidance: TDG raised its fiscal 2026 guidance including revenue of $ $9.85 - $10.04 billion (previously $9.75 - $9.95 billion) compared with consensus of $9.94 billion, adjusted EBITDA of $5.14 - $5.28 billion (previously $5.075 - $5.225 billion) compared with consensus of $5.24 billion, and adjusted EPS of ~$38.38 (previously ~$36.49) compared with consensus of $39.24. The company's end market growth outlook is unchanged.

Key takeaways: 1) Commercial OEM growth of +17% y/y was driven by higher OEM bill rates as well as increased Boeing production rates compared to the prior year **2)** Defense business growth of +7% y/y was driven by new business wins as well as higher defense spending globally **3)** Commercial aftermarket growth of +7% y/y was driven by growth across all submarkets, particularly commercial transports which was up +8% y/y **4)** Fiscal 1Q26 EBITDA margin of 52.4% includes ~200 basis points of margin dilution from recent acquisitions **5)** Subsequent to quarter end, TDG announced acquisitions of Stellant Systems (~$960 million) as well as Jet Parts Engineering and Victor Sierra Aviation for ~$2.2 billion **6)** The company expects to fund these acquisitions with a combination of cash on hand and debt issuance **7)** In 2025 Stellant Systems generated revenue of ~$300 million and the combination of Jet Parts Engineering and Victor Sierra Aviation generated ~$280 million **8)** Acquisitions of Stellant Systems, Jet Parts Engineering, and Victor Sierra Aviation are excluded from fiscal 2026 guidance.

See page 3 for analyst certification and important disclosures.

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TransDigm Group (TDG) - Relative Value

Coupon	Description	Maturity	Ratings Moody's S&P	Amount Out. ($ mn)	Recent Quotes Bid	YTW	Spread	YTW Date	Next Call Data Date	Price	Debt/ LTM EBITDA	Net Debt/ LTM EBITDA	LTM EBITDA	Debt/ TEV	TEV/ LTM EBITDA	Equity Mkt Cap
AAR Corp (AIR)																
6.750%	Sr Unsecured	3/15/2029	Ba2/BB	$700	103 1/8	5.17%	163 bps	3/15/2028	3/15/2026	103 3/8	3.1x	2.8x	$337	20%	15.5x	$4,260
Amentum (AMNTEC)																
S + 225	Term Loan B	9/29/2031	Ba3/BB-	$3,550	100 1/8	5.89%	222 bps				2.7x	2.3x	$1,104	33%	11.1x	$8,724
	Yield to maturity assuming SOFR forward curve → 5.76%															
7.250%	Sr Unsecured	8/1/2032	B2/B	$1,000	105 1/4	5.57%	193 bps	8/1/2029	8/1/2027	103 5/8	3.6x	3.2x				
Barnes (B)																
6.750%	Secured	2/1/2032	B2/B	$750	102 5/8	6.00%	231 bps	2/1/2030	2/1/2028	103 3/8	n/a	n/a	n/a	n/a	n/a	n/a
Bombardier (BBDBCN)																
6.000%	Sr Unsecured	2/15/2028	Ba3/BB-	$750	100	6.00%	247 bps	3/5/2026	3/5/2026	100	3.7x	2.9x	$1,400	18%	20.1x	$24,083
7.500%	Sr Unsecured	2/1/2029	Ba3/BB-	$750	103 7/8	5.30%	182 bps	3/5/2026	3/5/2026	103 3/4						
8.750%	Sr Unsecured	11/15/2030	Ba3/BB-	$750	107 1/8	4.89%	135 bps	11/15/2026	11/15/2026	104 3/8						
7.250%	Sr Unsecured	7/1/2031	Ba3/BB-	$750	106 1/4	5.11%	161 bps	7/1/2027	7/1/2027	103 5/8						
7.000%	Sr Unsecured	6/1/2032	Ba3/BB-	$750	104 7/8	5.38%	175 bps	6/1/2029	6/1/2027	103 1/2						
6.750%	Sr Unsecured	6/15/2033	Ba3/BB-	$750	104 7/8	5.48%	175 bps	6/15/2030	6/15/2028	103 3/8						
7.450%	Sr Unsecured	5/1/2034	Ba3/BB-	$510	111 1/2	5.68%	157 bps	5/1/2034	nc	nc						
TransDigm Group (TDG)																
S + 225	Term Loan K	3/22/2030	Ba3/BB-	$3,533	99 3/4	5.98%	232 bps				4.8x	4.3x	$4,896	30%	20.4x	$72,358
	Yield to maturity assuming SOFR forward curve → 5.77%															
S + 250	Term Loan J	2/28/2031	Ba3/BB-	$3,596	100	6.16%	250 bps									
	Yield to maturity assuming SOFR forward curve → 6.01%															
S + 250	Term Loan L	1/19/2032	Ba3/BB-	$1,500	99 3/4	6.21%	255 bps									
	Yield to maturity assuming SOFR forward curve → 6.11%															
S + 250	Term Loan M	8/19/2032	Ba3/BB-	$2,500	99 3/4	6.22%	255 bps									
	Yield to maturity assuming SOFR forward curve → 6.13%															
6.750%	1st lien	8/15/2028	Ba3/BB-	$2,100	101 3/4	4.50%	83 bps	2/15/2026	2/13/2026	103 3/8						
6.375%	1st lien	3/1/2029	Ba3/BB-	$2,750	102 1/2	5.09%	156 bps	3/1/2028	3/1/2026	103 1/4						
6.875%	1st lien	12/15/2030	Ba3/BB-	$1,450	103 5/8	5.33%	177 bps	8/18/2028	8/18/2026	103 1/2						
7.125%	1st lien	12/1/2031	Ba3/BB-	$1,000	104 1/8	5.52%	194 bps	12/1/2028	12/1/2026	103 5/8						
6.625%	1st lien	3/1/2032	Ba3/BB-	$2,200	103	5.55%	194 bps	3/1/2029	3/1/2027	103 3/8						
6.000%	1st lien	1/15/2033	Ba3/BB-	$1,500	101 1/4	5.61%	195 bps	9/15/2029	9/15/2027	103						
6.250%	1st lien	1/31/2034	Ba3/BB-	$500	102 5/8	5.59%	184 bps	8/31/2030	8/31/2028	103 1/8						
4.625%	Sr Subordinatec	1/15/2029	B3/B	$1,200	99	4.99%	140 bps	1/15/2029	3/5/2026	100	6.2x	5.7x				
4.875%	Sr Subordinatec	5/1/2029	B3/B	$750	99 3/8	5.08%	146 bps	5/1/2029	3/5/2026	101 1/4						
6.375%	Sr Subordinatec	5/31/2033	B3/B	$2,650	101 3/8	6.01%	228 bps	5/31/2030	5/31/2028	103 1/4						
6.750%	Sr Subordinatec	1/31/2034	B3/B	$2,000	102 3/4	6.05%	230 bps	8/31/2030	8/31/2028	103 3/8						

Source: Bloomberg Finance L.P., J.P. Morgan, company reports

Risks to our rating: Risks to our Overweight rating include failure to effectively integrate acquisitions and improve margins, additional debt-financed acquisitions, end markets underperforming expectations, and significant distributions to shareholders.

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	Date	Action	Rating/Designation	Ticker/ISIN
Issuer	09 Sep 21	Restored	Overweight	TDG
5.500% Sr Sub Notes due 2027 *	09 Sep 21	Restored	Overweight	US893647BL01
4.625% Snr Sub Nts due 2029	09 Sep 21	Restored	Overweight	US893647BP15
4.875% Sr. Sub Notes due 2029	09 Sep 21	Restored	Overweight	US893647BQ97
5.500% Sr Sub Nts due 2020	11 Apr 19	Terminate	Not Covered	US893647AR89
5yr CDS	01 Apr 25	Initiate	Long Risk	—
6% Sr Sub Nts due 2022	06 Dec 19	Terminate	Not Covered	US893647AW74

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6.00% sec notes due 2033	26 Sep 24	Initiate	Overweight	US893647BW65
6.25% Sec Nts due 2026	07 May 24	Terminate	Not Covered	US893647BE67
6.250% Nts 34	19 Aug 25	Initiate	Overweight	US893647BZ96
6.375% 1L notes due 2029	07 May 24	Initiate	Overweight	US893647BU00
6.375% Snr Sub Nts due 2026	25 Sep 23	Terminate	Not Covered	US893647BB29
6.375% Sr. Sub Notes due 2033	22 May 25	Initiate	Overweight	US893647BY22
6.5% Snr Sub Nts due 2025	20 May 21	Terminate	Not Covered	US893647AZ06
6.5% Sr Sub Nts due 2024	08 Mar 21	Terminate	Not Covered	US893647AX57
6.625% 1L notes due 2032	07 May 24	Initiate	Overweight	US893647BV82
6.750% Sr Sec Notes due '28	09 May 23	Initiate	Overweight	USU8936PAX16
6.750% Sr. Sub Nts '34	19 Aug 25	Initiate	Overweight	US893647CA37
6.875% Sec Nts due 2030	25 Sep 23	Initiate	Overweight	US893647BS53
6.875% Snr Sub bond due 2026	25 Sep 23	Terminate	Not Covered	US89365DAB91
7.125% 1L Nts '31	19 Dec 23	Initiate	Overweight	US893647BT37
7.50% Snr Sub Nts due 2027	07 May 24	Terminate	Not Covered	US893647BH98
7.500% Sr Sub Nts due 2021	24 Jan 18	Terminate	Not Covered	US893647AT46
7.750% Sr Sub Nts due 2018	26 May 16	—	Not Covered	US893647AP24
8.000% Sr Sec Notes due 2025	09 May 23	Terminate	Not Covered	US893647BK28
L+225 bp Term Loan E due 2025	23 Mar 23	Terminate	Not Covered	—
L+225 bp Term Loan F due 2025	23 Mar 23	Terminate	Not Covered	—
L+225 bp Term Loan G due 2024	20 Jan 23	Terminate	Not Covered	—
S+225 bp Term Loan K due 2030	03 Oct 25	Initiate	Overweight	US89364MCF95
S+250 bp 1L Term Loan due 2032	26 Sep 24	Initiate	Overweight	US89364MCD48
S+250 bp Term Loan J '31	19 Dec 23	Initiate	Overweight	—
S+250 bp Term Loan M '32	19 Aug 25	Initiate	Overweight	—
S+275 bp Term Loan K due 2030	07 May 24	Initiate	Overweight	—
S+275 bp Term Loan K due 2030	03 Oct 25	Terminate	Not Covered	—
S+325 bp Term Loan H due 2027	07 May 24	Terminate	Not Covered	—
S+325 bp Term Loan I due '28	09 May 23	Initiate	Overweight	—
S+325 bp Term Loan I due '28	03 Oct 25	Terminate	Not Covered	—

***Indicates representative/primary bond/instrument.**

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